CFO Briefing — NSW Drought Fund: Initial Portfolio Recommendation

Prepared for the Board of the NSW Drought Fund | May 2026

Section 1 — What

- We recommend allocating **15% to STI, 35% to MTG, and 50% to LTG**. Under a disinflationary base case — Australian CPI at 2.7% with gradual RBA easing — the mix tilts toward long-term growth, delivering a forecast gross return of **8.7% p.a.** at estimated portfolio risk of **~8.1%**.

Section 2 — How

- **Return target exceeded.** The blended 8.7% forecast return clears the Fund's CPI + 2.5% nominal hurdle (5.2%) by 350 bps, with margin to absorb fee drag (~35 bps) and adverse rate scenarios (RBA, 2026).
- **Liquidity satisfied.** STI (15%, daily redemption) covers the 10%-within-12-months requirement; STI plus MTG (50%) exceeds the 25%-within-3-years threshold, ensuring the Fund can meet drought-relief disbursements at short notice.
- **Risk appetite matched.** Total equity exposure reaches ~45%, consistent with the Board's moderate-high tolerance. STI's cash–bond anchor (0.7% volatility) floors downside; LTG's 10-year horizon absorbs equity drawdowns.

Section 3 — Why

Macro regime

- Australian headline CPI has moderated to 2.7%; the RBA signals gradual easing through 2026 (RBA, 2026). US inflation at 2.3%; the Fed maintains cautious normalisation (Federal Reserve, 2026). The IMF projects global growth at 3.3% as disinflation broadens (IMF, 2026).
- Rate cuts support bond prices while equities benefit from improved earnings multiples. AUD depreciation on rate differentials favours unhedged global exposures.

Asset class outlook

- Building-block estimates — combining current yields, consensus earnings growth, and policy-rate paths — produce forecasts respecting the risk-return principle: cash (3.8%) < bonds (3.9–4.8%) < property (8.4%) < equities (11.7–12.2%) < private equity (13.4%) (Bloomberg, 2026).
- Easing supports fixed income: Australian FI forecasts 4.8% as yields compress; global FI (hedged) 3.9%. Global equities resist inflation drag through US corporate pricing power, technology-sector earnings resilience, and forward P/E expansion from rate cuts — forecasting 12.2% unhedged. Australian equities forecast 11.7% on domestic earnings recovery. Private equity leads at 13.4% but carries 20.3% volatility; infrastructure offers 8.6% with defensive, inflation-linked cash flows.

Unit trust logic

- STI (50% cash / 50% short bond) blends to a forecast 4.1% at near-zero volatility — a pure liquidity vehicle. MTG's 45% equity / 35% fixed income mix produces a forecast 7.9%. LTG's 60% listed equities, 15% private equity, and 10% infrastructure drive the highest trust return at 10.6%. Each trust overweights asset classes forecast to outperform under disinflation.

Allocation rationale

- The 15/35/50 split captures the disinflation tailwind: LTG (10.6%) maximises long-term real returns over a 10-year horizon; MTG (7.9%) balances growth and stability over 5 years; STI (4.1%) buffers near-term obligations. Blended: 0.15 × 4.1 + 0.35 × 7.9 + 0.50 × 10.6 = **8.7%** gross return at ~8.1% risk, clearing the 5.2% hurdle for the Fund's moderate-high mandate.

Asset Class Review & Portfolio Metrics

Table 1: Asset Class Review

Asset Class	Historical Return	Forecast Return	Diff.	Historical Risk
Cash	2.14%	3.8%	+1.66%	0.43%
Aus. Short Duration Bond	2.79%	—	—	1.24%
Australian Fixed Income	2.11%	4.8%	+2.69%	4.40%
Global Fixed Income (Hedged)	2.08%	3.9%	+1.82%	4.00%
Global Credit (Hedged)	2.68%	—	—	5.50%
Australian Listed Equity	9.75%	11.7%	+1.95%	13.47%
Global Listed Equity (Unhedged)	10.14%	12.2%	+2.06%	14.32%
Global Listed Equity (Hedged)	11.46%	—	—	13.31%
Australian Listed Property	7.36%	8.4%	+1.04%	20.47%
Global Infra. Unlisted (Unh.)	6.68%	8.6%	+1.92%	10.35%
Global Private Equity	10.56%	13.4%	+2.84%	20.31%

Notes: Historical Return = CAGR, Jan 2016 – Feb 2026 (10-year). Historical Risk = annualised std. dev. of monthly returns. Forecast Return = 10-year forward building-block estimate. — = pending team input. Source: Refinitiv.

Table 2: Unit Trust Performance

Metric	STI	MTG	LTG
Historical Return (net)	2.28%	5.91%	8.39%
Forecast Return (net)	4.1%	7.9%	10.6%
Historical Risk	0.73%	7.73%	10.63%

Notes: Historical Return = weighted-average CAGR net of costs. Forecast Return = weighted-average of asset-class forecasts. Risk = annualised std. dev. of trust monthly returns (captures correlations). Trust compositions per Abercrombie FM IM Appendix 2. Source: Refinitiv, team analysis.

Table 3: NSWDF Portfolio Recommendation

Metric	Value
Recommended Mix	STI: 15% MTG: 35% LTG: 50%
Forecast Return (gross)	8.7% p.a.
Estimated Portfolio Risk	~8.1%
CPI + 2.5% Hurdle	5.2% (exceeded by 350 bps)
Liquidity Coverage	STI 15% (>10% at 12 mo.); STI+MTG 50% (>25% at 3 yr)

Notes: Forecast Return = 0.15×4.1 + 0.35×7.9 + 0.50×10.6 = 8.7%. Risk estimated from historical trust covariance at recommended weights. Constraints: CPI+2.5% return hurdle, 10%/12-mo and 25%/3-yr liquidity, moderate-high risk tolerance. Fund size AUD 3 bn. Source: Team analysis; Board Policy and Investment Directive.

AI Acknowledgement

This briefing paper was prepared with the assistance of generative AI tools (Claude, Anthropic). AI was used to: (1) extract and validate data from the source Excel workbook, (2) compute historical returns, risk metrics, and unit trust performance figures, (3) structure and draft the narrative content, and (4) format the final document. All figures, recommendations, and analytical judgements were reviewed and approved by the student team. The underlying data originates from Refinitiv indices as provided in the FINC3600 project brief.